Retail Sector Performance Across Australian States: Identifying Growth Industries in the Post-Pandemic Era (2020–2025)

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1 Executive Summary

2 Introduction

The Australian retail sector experienced substantial disruption during the COVID-19 pandemic, followed by uneven recovery patterns across states and retail industries. Changes in consumer behaviour, reopening policies, labour market conditions, and inflation contributed to significant variation in retail turnover between 2020 and 2025. Understanding which industries recovered most strongly is important for businesses, policymakers, and investors seeking to identify emerging growth opportunities in the post-pandemic economy.

This report analyses seasonally adjusted retail turnover data published by the Australian Bureau of Statistics (ABS), covering multiple Australian states and retail industry subgroups. Using reproducible workflows implemented in Quarto and R, the report examines differences in retail performance across regions and industries during the post-pandemic recovery period.

Preliminary analysis suggests that retail recovery patterns differed substantially across states, with Victoria and Western Australia recording some of the strongest growth rates between 2020 and 2025. Industry-level analysis indicates particularly strong growth in cafes, restaurants, takeaway food services, clothing retailing, and personal accessory retailing. These findings provide insight into structural changes in Australian consumer spending and highlight sectors that demonstrated strong post-pandemic resilience.

3 Methodology

Monthly retail turnover data were obtained from the Australian Bureau of Statistics (ABS) Retail Trade, Australia release (Cat. No. 8501.0, Table 12), which tracks seasonally adjusted turnover figures broken down by state and industry subgroup. This publication is updated monthly and freely accessible via abs.gov.au, with the current release extending through May 2025, making it a reliable source for examining recent retail trends across Australia.

The dataset captures turnover in millions of Australian dollars across all eight states and territories — New South Wales, Victoria, Queensland, South Australia, Western Australia, Tasmania, the Northern Territory, and the Australian Capital Territory — and spans multiple retail industry subgroups, ranging from supermarkets and grocery stores to cafes, clothing retailers, and household goods outlets. Given the study's focus on post-pandemic recovery, only observations from January 2020 onward were retained, providing a window that encompasses both the acute disruption phase of COVID-19 and the subsequent recovery period through to May 2025.

The raw data arrived in wide format, with each column encoding a distinct state-industry combination. Column labels were extracted from the first row and reassigned before the table was pivoted into long format via the tidyverse package in R; state and industry identifiers were then isolated from the original series strings using the separate() function, with column indices used to ensure accurate label matching across all states. National aggregate rows and records with missing values were excluded to ensure the analysis reflected state-level patterns only. Industry labels were also simplified where necessary to improve readability.

All visualisations were produced using ggplot2 and tables were rendered with knitr. Table 1 lists the ten state-industry combinations with the highest average monthly turnover, offering a snapshot of which segments consistently dominated retail activity. Figure 1 traces how turnover evolved across supermarket and grocery stores, cafes and restaurants, and clothing retailing between 2020 and 2025, highlighting divergent recovery trajectories in the post-pandemic period.

Table 1: Top 10 state-industry combinations by average monthly retail turnover, 2020–2025 (AUD millions, seasonally adjusted)

State	Industry	Average Turnover ($M)
New South Wales	Food retailing	4102.1
Victoria	Food retailing	3356.2
New South Wales	Supermarket and grocery stores	3338.0
Queensland	Food retailing	2915.5
Victoria	Supermarket and grocery stores	2776.3
Queensland	Supermarket and grocery stores	2397.3
New South Wales	Household goods retailing	1789.2
New South Wales	Other retailing	1562.5
Victoria	Household goods retailing	1523.9
Western Australia	Food retailing	1510.7

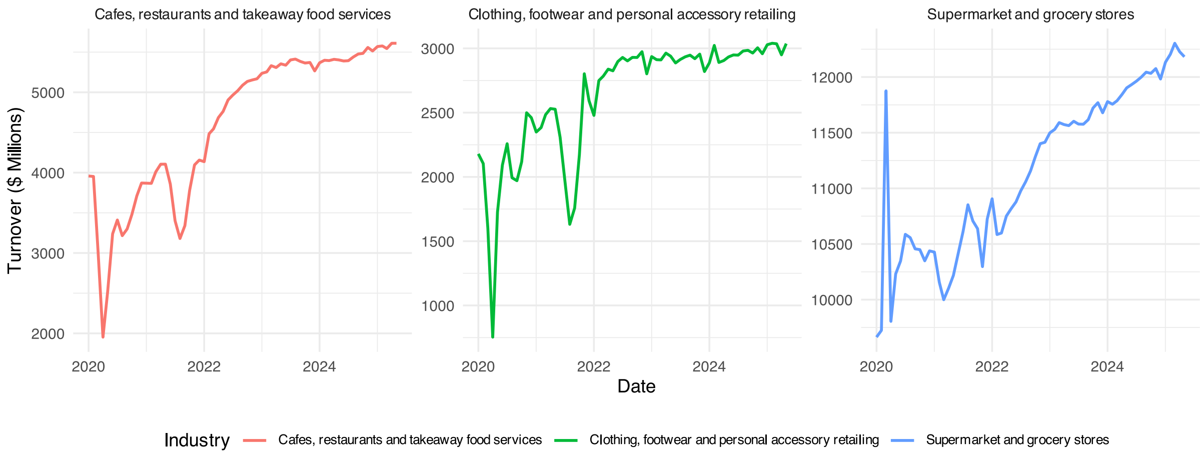

Figure 1: Monthly retail turnover across selected industries in Australia, January 2020 to May 2025 (seasonally adjusted, AUD millions)

4 Results

Figure 2 presents the percentage change in total retail turnover by industry subgroup between January 2020 and May 2025, summed across all Australian states.

Cafes, restaurants and catering services recorded the strongest growth over the period, consistent with the recovery of dining and hospitality following COVID-19 restrictions. Takeaway food services also showed strong gains, reflecting sustained demand for convenient dining options. Pharmaceutical, cosmetic and toiletry goods retailing grew steadily, driven by continued consumer spending on health and personal care.

In contrast, newspaper and book retailing recorded the sharpest decline, continuing a long-run structural trend driven by digital substitution. Department stores also contracted, reflecting ongoing pressure from online retail and shifting consumer preferences.

Hardware, building and garden supplies showed moderate growth, likely supported by the pandemic-era home improvement boom. Supermarket and grocery stores maintained steady positive growth throughout the period, underpinned by consistent household demand.

Overall, food services and health-related retail were the primary drivers of post-pandemic growth, while print-based and discretionary retail continued to decline.

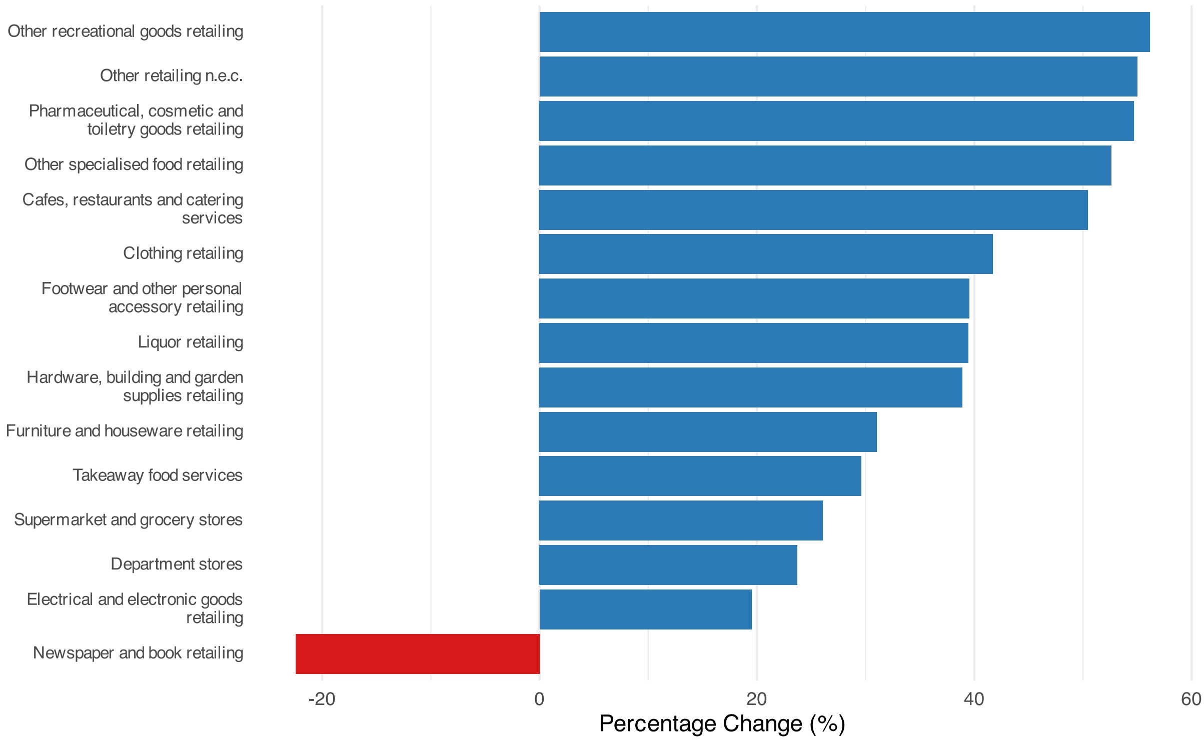

Figure 2: Percentage change in total retail turnover by industry subgroup, January 2020 to May 2025 (seasonally adjusted, AUD millions). Industries ranked by growth rate.

5 Discussion, conclusion and recommendations

Discussion

The results reveal a clear bifurcation in Australian retail performance between 2020 and 2025. Food services — particularly cafes, restaurants, and takeaway — emerged as the strongest growth segment, as shown in Figure 2, with cafes and restaurants recording approximately 50% growth over the period. This recovery reflects pent-up consumer demand following prolonged COVID-19 dining restrictions, as well as a structural shift toward experience-based spending once lockdowns lifted. The sustained growth in pharmaceutical, cosmetic, and toiletry goods retailing similarly reflects a lasting behavioural legacy of the pandemic, with heightened consumer attention to personal health and hygiene driving ongoing demand.

In contrast, newspaper and book retailing recorded the sharpest decline of approximately 20%, continuing a long-run structural trend driven by digital substitution that predates the pandemic. Department stores also contracted, reflecting compounding pressures from the growth of online retail platforms and shifting consumer preferences away from traditional discretionary retail formats. These segments are unlikely to recover without significant business model transformation.

The dominance of New South Wales, Victoria, and Queensland in absolute turnover (Table 1) is consistent with their population size. However, Western Australia's relative strength in growth rates warrants attention, potentially reflecting its earlier economic recovery and resource-sector-driven income growth during this period.

Conclusion

As shown in Figure 3, Victoria and Western Australia recorded the strongest growth rates among all states.

This analysis of seasonally adjusted ABS retail turnover data from January 2020 to May 2025 demonstrates that post-pandemic retail recovery in Australia has been uneven but directionally clear. Food services and health-related retail are the primary growth industries, while print media retail and traditional department stores face ongoing structural decline. Victoria and Western Australia recorded some of the strongest state-level growth, suggesting regional variation in recovery pace driven by differing reopening timelines and economic conditions.

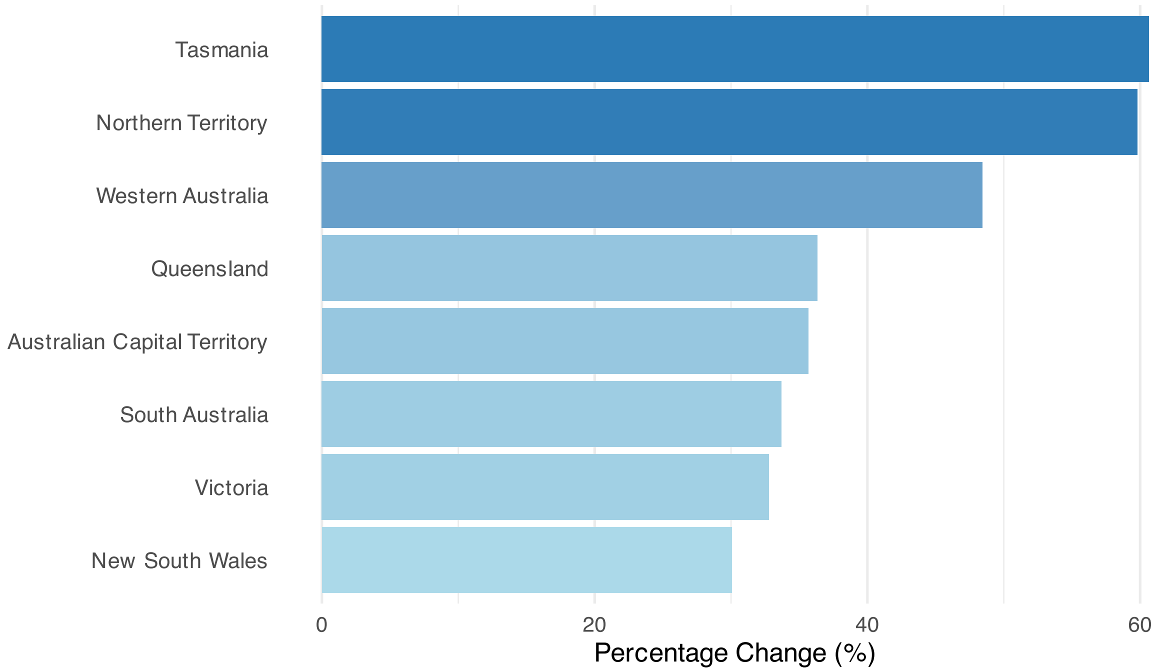

Figure 3: Percentage change in total retail turnover by state, January 2020 to May 2025 (seasonally adjusted, AUD millions).

Recommendations

For Businesses and Investors: Capital allocation should prioritise food services, pharmaceutical retailing, and personal care sectors when considering retail expansion in Australia, as these segments demonstrate the strongest and most sustained post-pandemic growth trajectories.

For Policymakers: Support programs targeting structurally declining sectors such as newspaper and book retailing should account for the long-run digital substitution trend rather than treating decline as a purely pandemic-driven phenomenon. Targeted transition assistance may be more effective than recovery-focused interventions.

For Future Research: Longitudinal analysis extending beyond 2025 would help distinguish pandemic recovery effects from underlying structural trends. State-level decomposition of growth drivers — separating population growth, real income effects, and behavioural change — would provide more granular policy-relevant insights.

6 References

Data were obtained from the Australian Bureau of Statistics [1].

Bibliography

[1] Australian Bureau of Statistics, "Retail Trade, Australia: Table 12 — Retail Turnover, State by Industry Subgroup, Seasonally Adjusted." [Online]. Available: https://www.abs.gov.au/statistics/industry/retail-and-wholesale-trade/retail-trade-australia/may-2025